

COMPLIANCE & LEGAL REFERENCE SERIES

The \$99 lease with a \$13,000 trap.

Why acceleration clauses in virtual-office "leases" rarely survive Texas law, what federal exposure a collector inherits by pursuing them anyway, and the placement screen Southwest Recovery Services runs before any account is accepted.

A prospective client asked Southwest Recovery Services to collect a five-figure "commercial lease" balance. The instrument behind it was a \$99.99-per-month virtual mailbox agreement styled as a ten-year, non-cancellable office lease — with a clause accelerating roughly \$12,000–\$13,000, personally guaranteed, after a single missed payment. We declined the placement. This paper explains the two independent bodies of law behind that decision: Texas contract doctrine that puts the accelerated balance itself in doubt, and federal collection and credit-reporting law that makes pursuing a doubtful balance the collector's own violation. It is written for credit managers choosing an agency, and for the intake desks of agencies deciding what to accept.

Executive summary

A signed contract is the beginning of the collectibility analysis, **not** the end of it. The acceleration clause in this pattern is independently vulnerable under (a) Texas's liquidated-damages/penalty doctrine, because a ten-year accelerated sum bears no reasonable relationship to any actual loss on a mailbox-only arrangement, and (b) Tex. Prop. Code § 91.006, which makes the landlord's duty to mitigate non-waivable and voids any provision that purports to waive it. Separately — and regardless of how a Texas court would ultimately rule — a collector or furnisher that demands or reports the full accelerated balance without investigating this exposure risks its own liability under FDCPA § 1692f(1), FCRA § 1681s-2(b) as construed in *Roberts v. Carter-Young* (4th Cir. 2025), and the Consumer Financial Protection Act's prohibition on deceptive practices. There is no "we were duped by the creditor" defense: regulators treat the absence of a screening process as part of the violation.

1. The instrument: a mailbox priced like a decade of rent

The reviewed agreement (parties not identified) presented five features that recur across this product category. Each is a screening signal on its own; together they define the pattern.

FEATURE	WHAT THE CONTRACT ACTUALLY SAYS
Term & product mismatch	A 10-year, non-cancellable "office lease" at \$99.99/month, while the agreement's own Acceptance Letter states the tenant has <i>no access to the physical premises at any time</i> . The delivered product is mail forwarding.
Acceleration on one miss	A daily late fee, escalating on a single missed payment to acceleration of the entire remaining term — approximately \$12,000–\$13,000 — "immediately due and payable without notice or demand."
Personal liability stack	A personal, unconditional, "not of collection" guaranty independent of the tenant's own liability, plus a blanket UCC security interest in the individual signer's personal property.
Consumer-data capture	Full SSN, date of birth, and driver's license number collected from the individual signer.
Credit-access marketing	The address is marketed as a gateway to \$5,000–\$250,000 in unsecured, EIN-based business credit "with no personal guarantee" — while the lease itself imposes exactly such a guarantee.

2. Texas tests acceleration clauses as liquidated damages

No Texas statute names "virtual office leases" as a category. The governing law is general commercial landlord-tenant doctrine — and on these facts it cuts hard against full-balance collection. Texas courts treat a rent-acceleration clause as a liquidated-damages provision, not a self-executing entitlement: the stipulated sum must be a reasonable forecast of just compensation for harm that was genuinely difficult to estimate at contracting. Where the fixed sum bears no reasonable relationship to the landlord's actual or anticipated loss, courts strike it as an unenforceable **penalty**. Here the "premises" confer no physical occupancy, so the landlord's real exposure on default is the cost of mail-forwarding administration — not lost rent on unlet office space. A ten-year acceleration on a service that costs a small fraction of that figure to deliver sits squarely in the penalty-doctrine risk zone.

3. The duty to mitigate cannot be signed away

"(a) A landlord has a duty to mitigate damages if a tenant abandons the leased premises in violation of the lease. (b) A provision of a lease that purports to waive a right or to exempt a landlord from a liability or duty under this section is void."

TEXAS PROPERTY CODE · § 91.006 — LANDLORD'S DUTY TO MITIGATE DAMAGES

Texas courts construe this duty to require "objectively reasonable efforts to re-lease the premises to a tenant suitable under the circumstances" — *White v. Harrison*, 390 S.W.3d 666, 675 (Tex. App.—Dallas 2012) — and reduce a landlord's recovery by whatever could reasonably have been avoided — *Hoppenstein Properties, Inc. v. Schober*, 329 S.W.3d 846, 849 (Tex. App.—Fort Worth 2010); *Austin Hill Country Realty, Inc. v. Palisades Plaza, Inc.*, 948 S.W.2d 293 (Tex. 1997). A clause that automatically accelerates the full ten-year balance "without notice or demand," independent of any re-letting effort, operates in substance as exactly the waiver § 91.006(b) voids — even though it never uses the word "waiver." And because the "premises" is a mailbox, there is arguably nothing to re-let in the traditional sense — which does not exempt the landlord from the statute, but sharpens the argument that the true measure of loss is nowhere near the accelerated figure. Add the procedural-unconscionability overlay — a non-negotiable, mass-produced reusable form executed on a consumer e-signature platform with no negotiated terms — and the enforceability risk compounds.

To be precise about what this analysis does **not** say: no reported Texas case applies this doctrine to a virtual-mailbox lease specifically, and no clause is void until a court says so on specific facts. What can be said with confidence is that the clause carries material, well-documented enforceability risk — a very different conclusion than "legally sound and collectible in full."

4. Federal exposure does not wait for a court

This is the part most creditors — and too many agencies — miss. A collector that demands an amount not legally owed violates FDCPA § 1692f(1) at the moment of demand; a furnisher that re-reports a disputed balance without a real investigation violates FCRA § 1681s-2(b). Neither statute waits for a contract-law ruling, and neither recognizes good-faith reliance on the creditor as a defense. Liability is strict-liability or negligence-based; the regulatory posture is that **the absence of a screening process is itself part of the violation, not a mitigating factor**.

AUTHORITY	WHAT IT MEANS FOR THIS FILE
FDCPA § 1692f(1)	Prohibits collecting "any amount" not expressly authorized by the agreement creating the debt or permitted by law. If the accelerated figure is a penalty rather than enforceable liquidated damages, the demand itself is the violation — up to \$1,000 statutory damages per action, plus actual damages and attorney's fees.
<i>Roberts v. Carter-Young, Inc.</i> , 131 F.4th 241 (4th Cir. 2025)	A collection agency reported a disputed lease debt after merely re-confirming it with the landlord. The Fourth Circuit held furnishers must investigate disputed information that is "objectively and readily verifiable" — whether the dispute is framed as legal or factual — joining <i>Sessa v. Trans Union</i> , 74 F.4th 38 (2d Cir. 2023) and <i>Holden v. Holiday Inn Club Vacations</i> , 98 F.4th 1359 (11th Cir. 2024). Re-verification against internal records is not an investigation.

AUTHORITY	WHAT IT MEANS FOR THIS FILE
CFPA deception standard	CFPB Circular 2024-03 (June 2024) took the position that reliance on contract terms rendered unlawful or unenforceable by state or federal law can itself be deceptive. The circular was withdrawn in the Bureau's May 2025 guidance rollback (90 Fed. Reg. 20,084) — but the statutory prohibition it applied, 12 U.S.C. § 5536, remains fully in force, and the enforcement record stands: an \$850,000 civil penalty against a collection agency and its owner (2021) rested in significant part on the failure to maintain screening policies that would catch FCRA/FDCPA problems before they became violations.

5. The placement screen SWRS runs

Because every account a client places carries the client's name as well as ours, Southwest Recovery Services treats receivables matching this pattern as a compliance-review flag, not a routine commercial placement:

- **Screen before contact.** Files pairing a nominal service with an outsized accelerated balance route to compliance/legal review *before* intake — the penalty-doctrine and § 91.006 analysis precedes the first collection touch, not follows it.
- **No furnishing without foundation.** No tradeline is furnished on a full accelerated balance without a documented investigation of whether that balance reflects the creditor's actual, mitigated loss.
- **Disputes get real investigations.** Any consumer dispute of such a tradeline triggers substantive, account-level review — the standard *Roberts* now enforces — never simple re-verification.
- **"The contract says so" is never enough.** § 1692f(1) attaches to the demand itself; reliance on an unenforceable term is its own exposure.
- **Decline when the screen fails.** When the instrument cannot support the balance demanded, the professional answer is the one courts, regulators, and clients all ultimately reward: refuse the file.

Red flags at a glance

For credit and intake staff: any two of the following in one file warrants compliance review before the account is worked.

RED FLAG	SIGNAL	WHY IT MATTERS
Accelerated balance more than 20× the monthly service price	Penalty doctrine	The sum is untethered from any actual loss; Texas courts strike penalties.
Acceleration "without notice or demand" on a single miss	§ 91.006(b) void-waiver risk	Functions as a waiver of the non-waivable mitigation duty.
A "lease" with no physical premises access	Product mismatch	Loss on default is administrative, not rental; the label does not match the product.
Personal guaranty + blanket UCC lien from an individual signer on a mass-market form	Unconscionability stack	Consumer-protection exposure travels with the file; adhesion-contract factors compound.
SSN/DOB/DL capture bundled with business-credit marketing promises	Business-model flag	Independent red flag warranting scrutiny of the creditor itself, not just the contract.

Statutory and case-law authorities

AUTHORITY	HOLDING / RELEVANCE
Tex. Prop. Code § 91.006	Non-waivable landlord duty to mitigate; waiver provisions void under subsection (b).
<i>Austin Hill Country Realty v. Palisades Plaza</i> , 948 S.W.2d 293 (Tex. 1997)	Texas Supreme Court: landlord must make objectively reasonable re-letting efforts.
<i>White v. Harrison</i> , 390 S.W.3d 666 (Tex. App.—Dallas 2012)	Defines the "objectively reasonable efforts" mitigation standard.

AUTHORITY	HOLDING / RELEVANCE
<i>Hoppenstein Properties v. Schober</i> , 329 S.W.3d 846 (Tex. App.—Fort Worth 2010)	Recovery reduced by damages that could reasonably have been avoided.
15 U.S.C. § 1692f(1) — FDCPA	Prohibits collecting any amount not expressly authorized by the agreement or permitted by law.
15 U.S.C. § 1681s-2(b) — FCRA	Furnisher duty to reasonably investigate disputed information.
<i>Roberts v. Carter-Young</i> , 131 F.4th 241 (4th Cir. 2025); <i>Sessa</i> (2d Cir. 2023); <i>Holden</i> (11th Cir. 2024)	"Objectively and readily verifiable" disputes must be investigated, legal or factual.
12 U.S.C. § 5536 — CFPB; CFPB Circular 2024-03 (withdrawn May 2025)	Statutory deception prohibition in force; withdrawn circular articulated the reliance-on-unenforceable-terms theory; 2021 enforcement: \$850,000 penalty for absent screening controls.

"A debt collector may not use unfair or unconscionable means to collect or attempt to collect any debt ... (1) The collection of any amount ... unless such amount is expressly authorized by the agreement creating the debt or permitted by law."

FAIR DEBT COLLECTION PRACTICES ACT · 15 U.S.C. § 1692F(1)

Four questions that expose a paper mill

1. "What accounts do you refuse to take — and why?" A professional agency has a ready, specific answer. **2. "What happens when a balance looks unenforceable?"** The right answer involves review before contact — not "the contract controls." **3. "How do you investigate disputes?"** Listen for account-level documentation, not re-verification against internal records. **4. "Who reviews a file before it's furnished to a bureau?"** If the answer is nobody, the file — and the client behind it — carries the exposure.

About Southwest Recovery Services

Southwest Recovery Services is a contingency-based receivables recovery firm headquartered in Addison, Texas, serving healthcare, property management, commercial B2B, and seven other industry verticals since 2004. Over two decades we have placed more than \$975M in receivables, recovered over \$76M for clients, and worked 800,000+ accounts, with nationwide reach from 12 offices in 7 states. The model is pure contingency — no upfront fee, no retainer, no minimum; no recovery, no fee — backed by a documented, Reg F-compliant process and ACA International membership.

An agency that accepts everything protects nothing.

Every account your organization places carries your name. Ask any agency you evaluate the question that separates professionals from paper mills: **"What accounts do you refuse to take — and why?"** Ask us how placement screening, dispute classification, and furnishing discipline protect your brand while we recover your receivables.

Call (866) 551-4684 · info@swrecovery.com · swrecovery.com

Provided for general informational purposes; not legal advice. This analysis surveys generally applicable Texas contract doctrine and federal consumer-protection law; it is not a legal opinion on any specific account or contract, the agreement discussed is described generically with no party identified, and statutes, regulations, and case law cited are current to 2026 and should be verified, and written policies reviewed by counsel, before implementation. Southwest Recovery Services does not perform consumer collections in California, Washington, or Oregon.